TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Sources of finance

Strand 2: Enterprise
2.11 Sources of finance; Strand 1 · 1.5 Saving and borrowing



A revision lesson. Pupils run a car dealership in firms of four and revise sources of finance on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Total to pay back

Round 1

Same interest every year.

Total to pay back?

Loan	**€50,000**
Interest, each year	**3%**
Repaid over	**4 years**

ANSWER

€56,000

€50,000 + 4 × €1,500 = €56,000

Why: The loan costs €6,000 in interest.

2 Short-term sources

Round 1

You need €8,000 for three weeks to cover a gap.

Which two sources fit best?

A A bank overdraft
B Selling shares
C Trade credit from a supplier
D A five-year bank loan
E A mortgage

ANSWER

✓ A bank overdraft
✓ Trade credit from a supplier

Why: Short-term needs suit short-term finance.

3 Rank total interest

Round 2

Three ways to borrow €10,000, simple interest.

Order by total interest, cheapest first?

A Overdraft: 15% a year, 6 months
B Loan: 8% a year for 2 years
C Card: 24% a year for 3 months

ANSWER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

Why: Interest: €600, €750, €1,600.

Topic tasks

4 Loan or overdraft

Round 2

Loan or overdraft?

Extra cost of the overdraft?

Money needed	**€20,000**
Loan interest, for the year	**4%**
Overdraft charge, a month	**€200**
You need it for	**7 months**

ANSWER

€600

7 × €200 − €800 = €600

Why: The overdraft costs €600 more here.

5 Loan or own profit

Round 3

You want a €30,000 workshop ramp. You have €40,000 of profit kept in the firm, not needed elsewhere.

How should you pay, and why?

A Take a loan at 9%

B Use the profit kept in the firm

ANSWER

✔ Use the profit kept in the firm

Why: Retained profit costs no interest and need not be repaid.

6 Cheaper loan cost

Round 3

Borrow €25,000.

Total cost of the cheaper loan, with fees?

Bank interest, each year	**7%**
Bank fee, one-off	**€400**
Credit firm, interest a year	**9%**
Repaid over	**4 years**

ANSWER

€7,400

Bank €7,400; credit firm €9,000; cheaper €7,400

Why: The bank is cheaper, even with the fee counted.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Loans and investments”: the 6 come from these 10 questions.

1 The Growth Facility gives €50,000 at 10% interest. How much is repaid in total?

✔ **€55,000**

2 The Stock Facility is €25,000 at 10% repaid in 2 instalments. How much is each instalment?

✔ **€13,750**

3 You borrow €10,000 on the Quick Loan (10%, one instalment) to buy a car for €10,000 that sells for €13,000. After the loan and the VAT, what is left of the deal?

✔ **€1,439**

4 Your firm took the Growth Facility: €50,000 in, €55,000 to repay. How does the loan show in the net position just after drawing it?

✔ **Cash up by €50,000, debt up by €50,000: the net position is unchanged by the draw**

5 The Flagship dealership property costs €65,000 and returns about 9% a round. About how much does it pay each round?

✔ **About €5,850**

6 You bought a property for €45,000, it paid €3,150 in one round, and you sell it back at 95%. What is the overall result?

✔ **€900**

7 Your firm has €2,000 in cash, €2,800 of VAT due in the final 90 seconds, and a car in stock priced at €9,000. What is the soundest move?

✔ **Sell the car before the return opens, or take the Quick Loan if no buyer comes**

8 You drew the Quick Loan (€10,000, 10%) and can repay now from cash. What does repaying early do?

✔ **It clears the €11,000 debt from the net position; the interest is still paid**

9 The Quick Loan is €10,000 at 10% in one instalment. What is the instalment?

✔ **€11,000**

10 You take the Stock Facility (€25,000, 10%) to buy two cars for €12,500 each and sell them for €15,000 each. After interest and VAT, does the loan pay?

✔ **Yes: margins €5,000, minus €2,500 interest, minus VAT of €934, leaves €1,566**